

Goods and Service Tax (GST) Configuration in Microsoft Dynamics 365 Finance and Operations

Overview

GST in Microsoft Dynamics is powered by the Generic Tax Engine (GTE), which provides flexibility to adapt as per business requirements. With GTE, you can:

- Modify financial postings
- Create new GST components
- Define custom tax conditions

All configurations from GTE are stored in XML files, which can be imported into Microsoft products like Dynamics 365 F&O, AX 2012 R2, and AX 2012 R3.

To enable the GST module in your environment, you need three GST XML files. These XMLs can be obtained in multiple ways:

- From Lifecycle Services (LCS) – for D365 users
- From PartnerSource – for AX 2012 R2 & R3 users
- Directly within D365F&O via Regulatory Configuration Service (RCS) – the latest and recommended method

This approach ensures organizations remain compliant while maintaining the flexibility to extend or customize GST configurations directly within D365F&O.

Enabling GST Module in Dynamics 365 F&O / AX 2012

To enable the GST (Goods and Services Tax) module in your environment, three XML configuration files are required. These XMLs contain the tax engine setup that drives GST calculation and posting.

- For Dynamics 365 Finance and Operations, the XMLs can be imported directly through the Electronic Reporting (ER) workspace.
- For AX 2012 R2 and R3 users, the same XMLs must be downloaded through Lifecycle Services (LCS) or PartnerSource.

The three mandatory XML configuration files are:

1. Taxable Document
2. Taxable Document (India)
3. Tax (India GST)

Apart from **LCS** or **PartnerSource**, there are a couple of other ways you can get the **GST XMLs** depending on your Dynamics 365 F&O version:

1. Electronic Reporting (ER) Repository in D365 F&O

- In newer versions of Dynamics 365 Finance (10.0+), Microsoft has started publishing tax XML configurations directly to the ER (Electronic Reporting) configuration repository.
- You can access this via:
Workspaces → Electronic Reporting → Repositories → Add → Select Global repository (provided by Microsoft).
- Once connected, you can search for “India GST” configurations and download/import them directly without LCS.

2. Microsoft Dynamics Regulatory Configuration Service (RCS)

- RCS is a cloud-hosted service by Microsoft that acts as an extension of ER.
- GST XML configurations can be imported from RCS Global Repository and pushed into your D365 environment.
- This is particularly useful if you don’t have direct access to LCS.

3. Partner / ISV Provided XMLs

- Some Microsoft partners or ISVs provide customized GST XMLs (especially if you need additional localization beyond the standard setup).
- These can be imported the same way as Microsoft-provided XMLs.

Importing GST XMLs into D365 F&O

Navigation Path

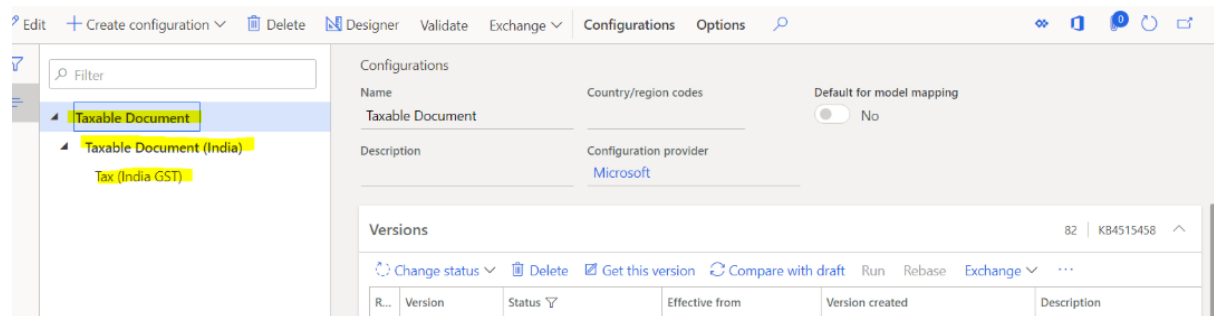
1. Go to Workspaces → Electronic Reporting.
2. Select Reporting Configurations.
3. On the Action Pane, click Exchange → Import from XML file.

Actions

- Browse your local system and select the three XML files (downloaded via LCS, PartnerSource, or Global ER Repository).
- Import them in the following sequence to avoid dependency issues:
 1. Taxable Document
 2. Taxable Document (India)
 3. Tax (India GST)

Verification

- After successful import, you should see the three configurations listed under Electronic Reporting → Configurations.
- Their status will appear as Draft until you synchronize and activate them in later steps.

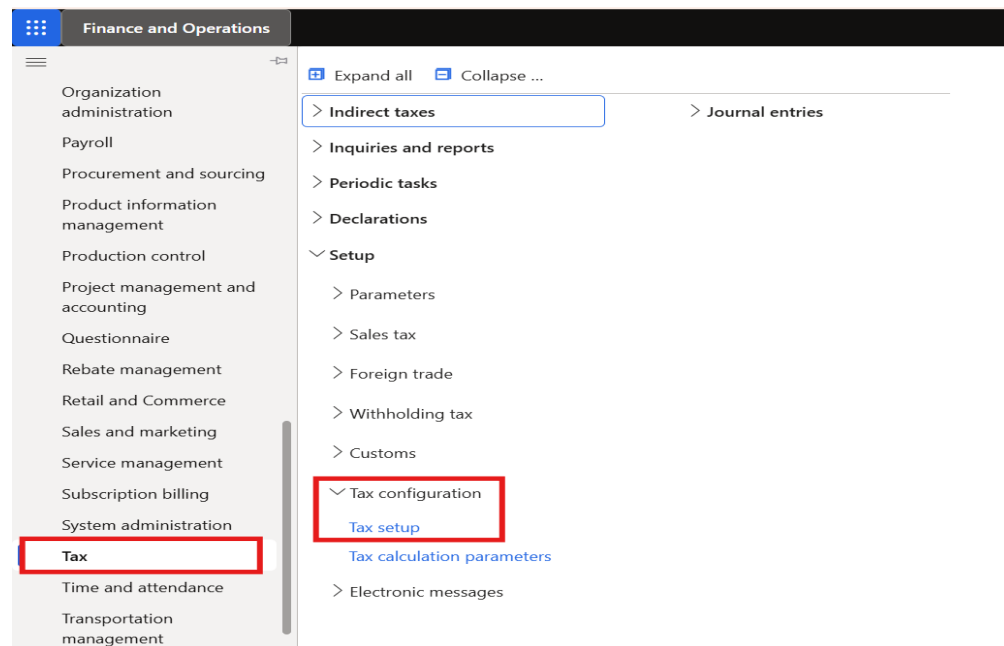


once you've imported and verified the XMLs, the next critical step is to activate the configuration and link it to your legal entities

Activating GST Configuration for Legal Entities

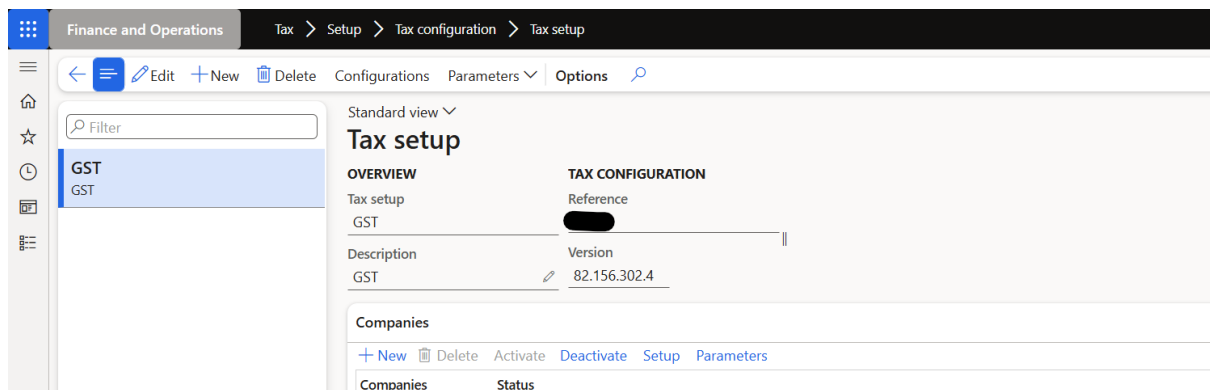
1. Navigate to Tax Setup

- Go to:
Tax > Setup > Tax configuration > Tax setups



Create a New Tax Setup

- Click New.
- Enter a Name and Description for your GST setup (e.g., *India GST Configuration*).
- Under Configuration, select the imported GST configuration (Tax (India GST)).
- Save the setup.



Synchronize the Configuration

- With your GST setup selected, click Synchronize.
- Wait until the status changes from Draft → Available.
- This ensures that the GST structure is now fully integrated into the tax engine

Finance and Operations Tax > Setup > Tax configuration > Tax setup

Save Options

GST : GST | Standard view

Configurations

Tax configuration Report configurations

Select available tax configuration

CURRENT CONFIGURATION

Name Batch status

Version

AVAILABLE CONFIGURATIONS

+ New Delete **Synchronize** Copy tax setup data Activate Deactivate

Configuration version	Configuration provider	Skip mode...	Status
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Activate the Configuration

- Select the synchronized GST setup.
- Click Activate & Close.
- The system will now mark this configuration as Active.

Assign to Legal Entities

- Still in Tax setups, click Legal entities (or “Assign Legal entities”).
- Select the company codes (legal entities) for which this GST configuration must be applied.
- Save the changes.

Note: You can assign the same GST configuration to multiple legal entities if they all follow the same GST structure.

Save + New Delete Configurations Parameters Options

Filter

GST_India
GST_India

Tax setup

OVERVIEW

Tax setup GST_India

Description GST_India

TAX CONFIGURATION

Reference Tax (India GST)

Version 82.143.264

Companies

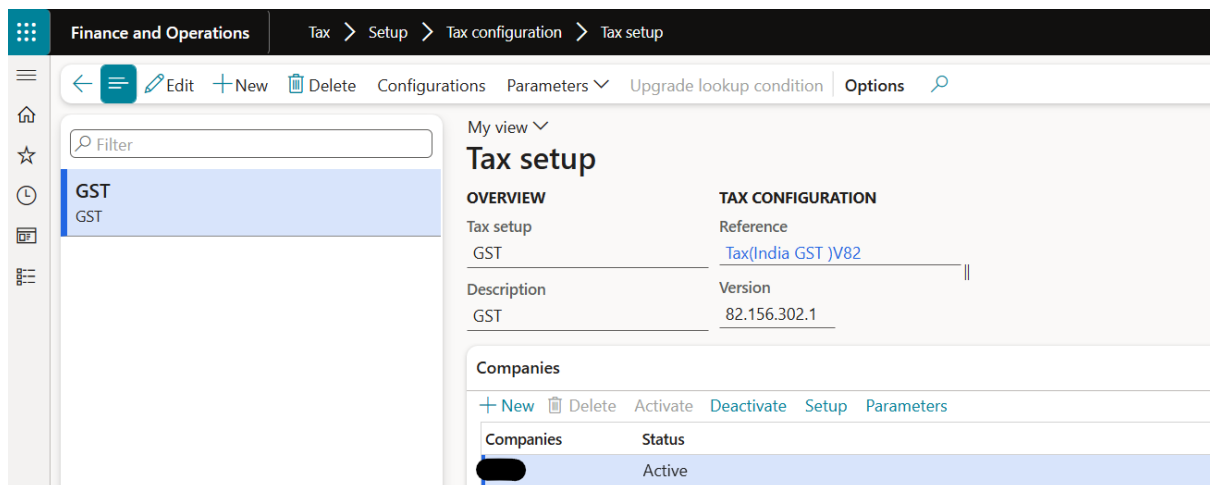
+ New Delete Activate Deactivate Setup Parameters

Companies	Status
BRMF	Draft
CNMF	
dat	
DEMF	
FRRT	
FRSI	
GBSI	

Ledger name ↑	Description	Primary legal e...
BRMF	Contoso Entertainment System ...	BRMF
CNMF	Contoso Entertainment China	CNMF
dat	dat	dat
DEMF	Contoso Entertainment System ...	DEMF
FRRT	Contoso Retail FR	FRRT
FRSI	Contoso Consulting FR	FRSI
GBSI	Contoso Consulting GB	GBSI

Validate Activation

- After activation, open Tax setups → Legal entity view.
- Ensure the selected legal entity is listed and shows status Active.
- Now transactions (sales, purchase, journals) created under this entity will trigger GST logic.

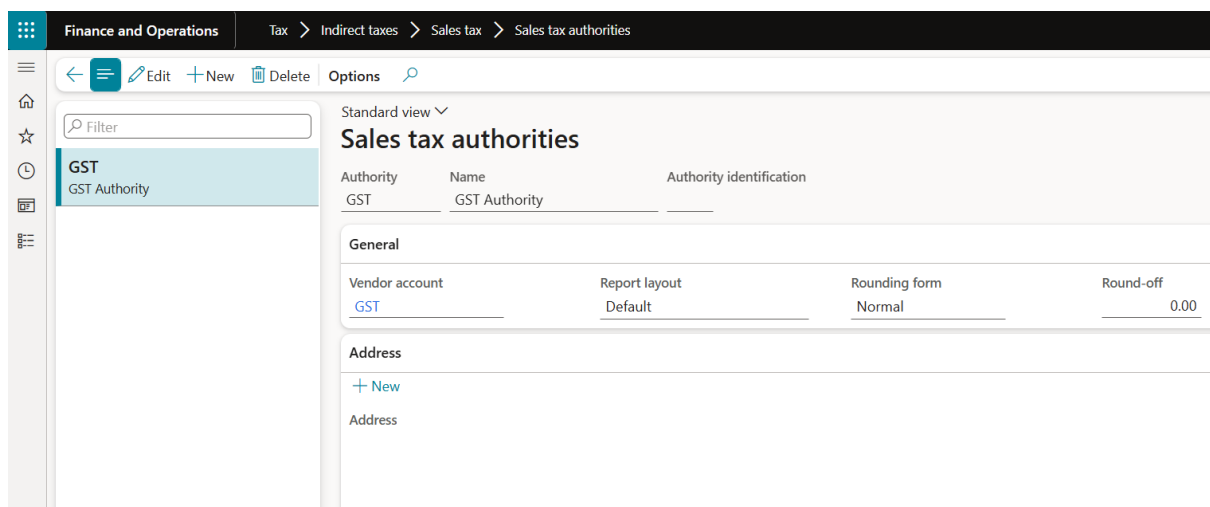


Once you activate the GST configuration and assign it to your legal entities, the very next setup is indeed to configure the Tax Authority.

Tax Authority setup, we don't just define the authority itself, we also map it to a vendor account. This vendor represents the government (Govt.) to whom we owe GST liability or from whom we may claim recoverable input GST.

Navigation Path

Tax > Indirect taxes > Sales tax > Tax authorities



Settlement Period

- Before linking, ensure that settlement periods are created.
- Path: Tax > Indirect taxes > Sales tax > Sales tax settlement periods
- Example:
 - *Monthly GST Filing Period* (1st to 30th/31st of every month).
- Assign this period to the Tax Authority.

Finance and Operations Tax > Indirect taxes > Sales tax > Sales tax settlement periods

Standard view

Sales tax settlement periods

Settlement period Description

GST GST

General

Authority GST Period interval unit Months Use batch processing for sales ta... ☒ No Prevent generating c ☒ No

Terms of payment Period interval duration 1 Active period for batch jobs

Period intervals

+ Add Remove New period interval Settlements per interval Sales tax per interval

From date	To date	Blocked for settlement...
10/1/2023	10/31/2023	
11/1/2023	11/30/2023	
12/1/2023	12/31/2023	
1/1/2024	1/31/2024	
2/1/2024	2/29/2024	
3/1/2024	3/31/2024	
4/1/2024	3/31/2025	

Creating HSN and SAC Codes in D365 F&O

1. Purpose

- HSN (Harmonized System of Nomenclature) → Used for goods.
- SAC (Services Accounting Code) → Used for services.
- Both are required in India to classify transactions for GST reporting.
- They ensure the correct tax rate is applied for each item/service.

Finance and Operations						
Tax > Setup > Sales tax > HSN codes						
← Edit + New Delete Options						
HSN codes						
Standard view						
Chapter	Heading	Subhea...	Country/regio...	Statistical ...	HSN co... ↑	Description
00	44	00	13		00440013	brakes; electro-magnetic lifting heads
04	01				0401	Easy-Switch for Windows, macOS, iPadOS, Chrom...
07	13				0713	packages [other than tooth powder]
09	01				0901	other than those of heading 8512 or 8530
09	02				0902	Tea, whether or not flavoured [other than un...
09	02	40	90		09024090	– Services of commission agents, commodity bro...
10	01				1001	Wheat And Meslin - Durum
11	01				1101	– Services of electronic whole sale agents and bro...
12	03				1203	Copra
12	09				1209	– Services of whole sale auctioning houses.
13	05				1305	Scale
14	04				1404	Mehandi
14	04	10	10		14041010	Beauty product

SGST Reference number Group, this is most critical part of entire GST setup which most of us forget to plan this properly, this has to be defined very carefully after discussing with customer. We should have proper discussion with customer and understand their requirement for defining the number sequence for GST transactions for each location. Mostly in India most of the customers follow one GST number sequence for “Each state”. In that case you can create number sequence group for each state and map it to the addresses e.g. Legal entity address, warehouse, site etc...

Navigate to Tax > Setup > Sales Tax > GST Reference number group

Finance and Operations		
Tax > Setup > Sales tax > GST reference number sequence group		
← Edit + New Delete Options		
Standard view		
GST reference number sequence group		
Name		Description
GST		GST reference sequence group
Details		
☐ Source	Reference	Number sequence ...
☒ Accounts receivable	Bill of supply	LNGSTBOS
Accounts receivable	Debit/Credit note	LNGSTDN_CN
Accounts receivable	Revised invoice	LNGSTREVIN
Accounts receivable	Advanced receipt voucher	LNGSTADV
Accounts receivable	Advanced refund voucher	LNGSTADVRE
Accounts receivable	GST Invoice	GSTINV

Starting Tax Setup

In the earlier part, we focused on building the foundation for GST by creating all the required masters — Tax Authority, HSN/SAC Codes, GST Reference Number Groups, and Enterprise GSTIN details.

Now that these masters are in place, it's time to move one step further and start configuring the Tax Setup. This is where we bring all the pieces together — mapping the masters, linking GST components, and defining the reporting structure.

From this point onward, we'll start making the GST framework functional so that the system can calculate and post taxes correctly during transactions.

Step-1: Tax Type Mapping

Tax Type Mapping step, which is very important to link the imported GST XML configuration (GST node) with the actual tax components (CGST, SGST, IGST, Cess, etc.) in D365.

Tax Type Mapping is used to connect the imported GST XML configuration with the actual GST tax components that you have defined in the system. This ensures that transactions calculate and post the correct GST amounts based on the XML rules.

Navigation Path

Tax > Setup > Tax Configuration > Select Legal Entity > Tax Setup > Select GST Node > Tax Type Mapping

The screenshot shows the 'Tax Setup' page in Dynamics 365 Finance and Operations. The breadcrumb navigation at the top reads: Tax > Setup > Tax configuration > Tax setup. On the left, a tree view shows the configuration structure: Tax document > Header > Lines > Custom Duty > BCD > Rate > Load on Inventory Percentage > SWS > Rate > Load on Inventory Percentage > IGST CUS > GST (highlighted with a red box). The main area is titled 'Setup' and has two tabs: 'Accounting' and 'Tax type mapping' (selected). Under 'Tax type mapping', there is a 'Tax type' dropdown menu (highlighted with a red box) showing 'GST' selected. Other options in the dropdown include None, VAT, India sales tax, Excise, Service tax, Customs, and GST.

Step-2

Configure GST Component Node (CGST, SGST, IGST, Cess)

Once the GST XML configuration is imported and activated, you must configure each GST Component Node individually. This step ensures that every GST component is correctly linked to currency and reporting periods, which are necessary for compliance and settlement.

Navigation Path

Tax > Setup > Tax Configuration > Select Legal Entity > Tax Setup > Expand GST Node > Select Component (e.g., CGST) > Reporting tab

Select GST component node CGST > Reporting, Map Currency and Period

The screenshot shows the SAP Tax Setup interface. The top navigation bar indicates the path: Finance and Operations > Tax > Setup > Tax configuration > Tax setup. The left sidebar shows a tree view of tax configuration options, with 'CGST' selected under the 'GST' node. The main area displays the 'Setup' tab for 'CGST', showing the 'Reporting' sub-tab. The 'Values' section contains two dropdown menus: 'Currency' set to 'INR' and 'Period' set to 'GST'.

Step 3:

Configure Accounting for GST Component Node

Once the Reporting details (Currency & Period) are defined, the next step is to configure the accounting setup for each GST component node. This ensures that GST postings (Input/Output) flow into the correct General Ledger accounts.

Navigation Path

Tax > Setup > Tax Configuration > Select Legal Entity > Tax Setup > Select GST Node (CGST) > Accounting Tab

Posting Types available under the Accounting Tab of GST components. These are critical because they determine how GST amounts flow into the General Ledger depending on the transaction nature (input, output, or reverse charge).

Posting Type:

1. **Tax Recoverable:** All the input credit amount will be posted in this main account
 - a. **Tax Payable:** All output GST payable will be posted in this main account
 - b. **Tax Expense:** This Main account will be used when there is no input credit and expenses are not loaded on product cost
 - c. **Interim Payable:** In case of RCM this will be used
 - d. **Interim Recoverable:** In case of RCM this will be used

The screenshot shows the SAP Tax Setup configuration interface. The breadcrumb trail at the top indicates the path: Finance and Operations > Tax > Setup > Tax configuration > Tax setup. The left sidebar contains a tree view of tax configuration options, with 'GST' and 'CGST' selected. The main area is titled 'Setup' and includes a 'Conditions' table and a 'Values' table.

Configuration version: Tax(India G... 82.156.302.1

Setup | GST | Standard view

Conditions

Condition	Value
GST Registration Number	[Redacted]

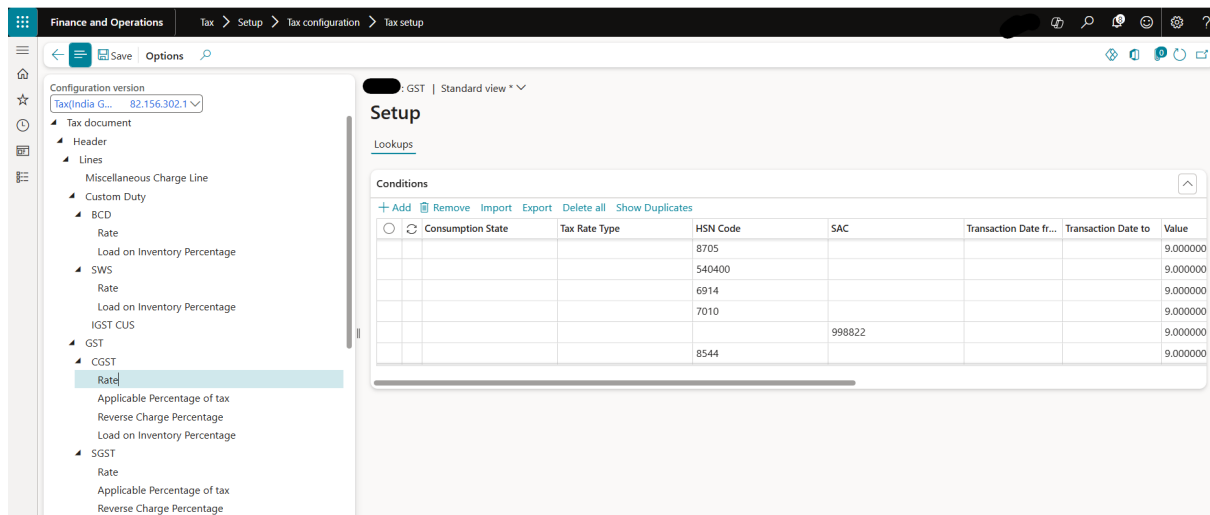
Values

Posting type	Main account
Tax Recoverable	2300220
Tax Payable	1251120
Tax Expense	4220150
Interim Payable	1251120
Interim Recoverable	2300220
Interim transit for stock tr...	

Step 4:

Define HSN/SAC Rates

After configuring the GSTINs and Accounting setup, the next step is to define tax rates for HSN (goods) and SAC (services). This ensures that the correct GST % is applied automatically during purchase and sales transactions.



Step 5:

Define Reverse Charge Percentage (RCM Setup)

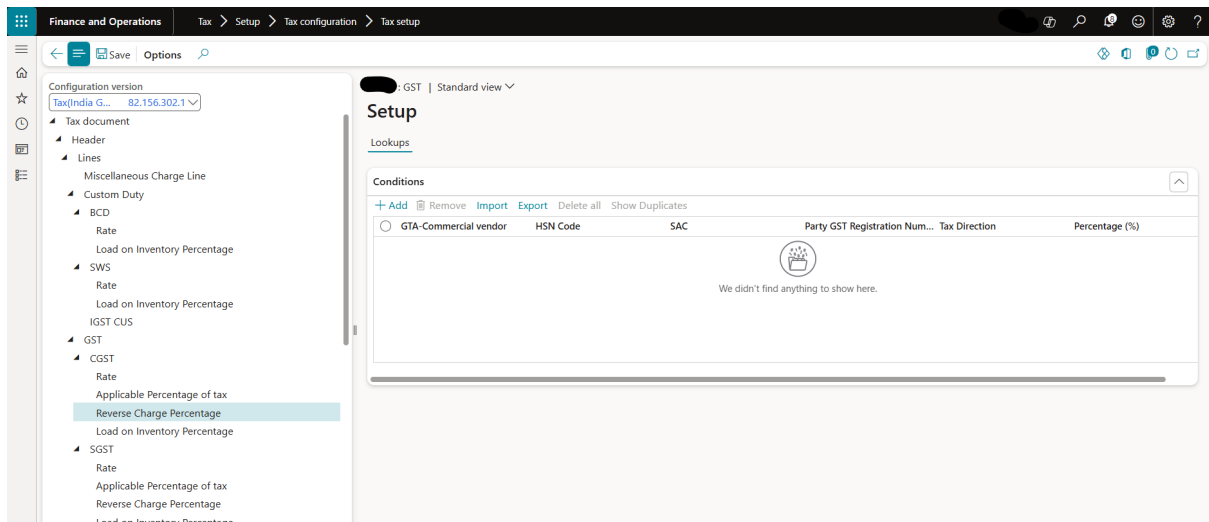
Reverse Charge Mechanism (RCM) setup, which is another critical part of GST configuration. This ensures that for specified services/goods, the recipient (company) pays the GST instead of the supplier.

The Reverse Charge Mechanism (RCM) allows GST liability to shift from the supplier to the buyer (your company). In D365 F&O, we configure this by defining Reverse Charge Percentages under each GST component node.

Note

Reverse Charge (RCM) can be defined with any condition and depends on the customer's requirement.

- RCM should always be defined as a universal rule (100%) instead of being specific to a vendor or customer.
- This ensures flexibility and compliance, since RCM applicability is not vendor/customer-driven, but transaction- or service-type driven (e.g., legal services, GTA services, etc.).



Define Load on Inventory (GST Setup)

Load on Inventory is another important part of India GST configuration in D365 F&O. This is used when a business chooses not to avail Input Tax Credit (ITC) on goods or services, and instead wants to add the tax expense into the product cost.

In D365 F&O, this is configured under the Load on Inventory tab for each GST component node.

Note

Load on Inventory ensures accurate inventory valuation when ITC is blocked or not availed.

- GST amount is directly loaded into inventory cost, rather than posted to Input Tax Credit accounts.
- Useful for scenarios like blocked credits (motor vehicles, personal use) or exports without ITC claims.
- Ensures true landed cost of goods, helping in better pricing and profitability analysis.

